THE ROCKY ROAD AHEAD

A US court's allegations of bribery in solar power contracts and US markets watchdog SEC's charges of concealing wrongdoings have jolted Gautam Adani's business empire. Even as he mounts a strong defence against the indictment, the group faces a crisis of investor confidence that may impact its growth plans

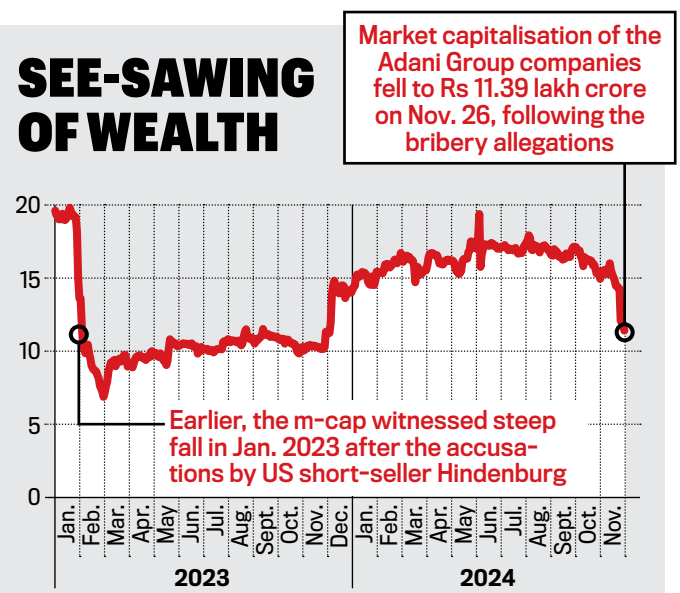
BY M.G. ARUN

Gautam Adani's biographer calls him 'destiny's child'. The 62-year-old chairman of the Ahmedabad-based $30 billion (Rs 2.5 lakh crore) Adani Group has escaped accidents, a kidnapping bid at gunpoint in 1998 and the November 2008 terrorist attack on the Taj Mahal hotel in Mumbai. He also overcame accusations from the US shortseller Hindenburg in January 2023 that the group companies inflated share prices through shell firms and round-tripping funds to India.

However, a US court indictment which said that, starting in 2020, top honchos of Azure Power—an Indian solar power producer that was listed on the New York Stock Exchange—connived with Adani and two of his senior executives to give $265 million (Rs 2,236 crore) in bribes to government officials across five Indian states in return for solar power contracts, and the US Securities and Exchange Commission's (SEC) charges of concealing these alleged wrongdoings from investors have been the biggest jolt so far. On November 21, a day after the charges were made public, shares of 11 Adani firms plunged over 20 per cent, with investors losing Rs 2.25 lakh crore. Kenya cancelled a $2 billion (Rs 16,866 crore) Adani airport project and a $736 million (Rs 6,207 crore) deal for power transmission lines. Dhaka is reviewing big power generation contracts signed during previous prime minister Sheikh Hasina's tenure, including certain Adani projects.

More trouble lurks. French oil major TotalEnergies, a partner in Adani's renewable energy and gas distribution businesses, won't invest in Adani companies until the latest charges are resolved. Adani Green Energy had to scrap a $600 million (Rs 5,060 crore) bond issue in the US citing the court's indictment and the SEC's charges. Rating agency Moody's slashed the outlook for seven Adani firms to 'negative' from 'stable', which would make borrowing dearer. Fitch put some group bonds on watch for possible downgrade, dragging share prices down on November 26.

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Source: Ace Equity